

How to fix it? Two magic words. (And no, although some people would like to mock me and say “Kevin Trudeau,” those are not the magic words.) There are actually three sets of “two magic words.” Each set is very effective in simply eliminating or significantly reducing your debt.

It’s Been Forgiven!

Bankruptcy is a fact of life for many people today. The American Bankruptcy Institute reported that in 2007, bankruptcy filings rose 40 percent. In numbers, that means that the filing total by consumers went from 597,965 in 2006 to a whopping 801,840 the very next year!

However, this doesn’t tell the whole story, because almost a third of the filings in a year involve couples, husband *and* wife. A 2001 study found that the total should be multiplied by 31.9% to get a more accurate total in terms of the real number of people actually affected. That makes the 2006 total closer to 789,000, and the 2007 total 1,057,627!

Think about that! Over one million people last year were affected by bankruptcy in our country. That means one out of every 300 people in the US filed for bankruptcy last year! Add to that the high amount of corporate bankruptcies, and that’s *millions* of people being affected by this every single year. That is a lot of us, folks. I’m sure all of us know someone whose life has been severely altered by this issue.

People filing bankruptcy believe that under the law they will have a fresh start, a clean slate, that their debts will be discharged. As it turns out, some creditors and collection agencies think they are above the law. Many people that have filed bankruptcy are still facing financial hardships on old debt because collectors are coming after them.

If you are part of this growing group, I have the first set of two magic words for you: *discharged debt*.

The story of a North Carolina factory worker named Dan will show you how this works. Dan completed a bankruptcy in 2002. A year later, he tried to buy a new house. His mortgage process was held up, not because of the bankruptcy, but because his credit report showed that he owed \$9500 to his credit card company. This outstanding debt was giving him a poor credit rating and the mortgage lenders could not give